Diminished Value Claims Reference

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Audience: Claims adjusters

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1. What Diminished Value Is

Diminished value is the reduction in a vehicle's resale value that persists after an otherwise complete and proper repair, arising from the fact of the vehicle having a prior accident in its history rather than from any remaining physical defect. It is distinct from the repair cost itself, which is paid under Part D or Part C as described in the Policy Wording.

2. First-Party Diminished Value Is Not a Covered Benefit

Under Policy Wording Part D and Part C, Meridian Mutual pays to repair or total the covered auto; neither Part D nor Part C states a benefit for the vehicle's post-repair diminished resale value on a first-party physical damage claim. A policyholder's own diminished value claim on their own vehicle, under their own Part D or Part C coverage, is therefore not a covered benefit and is denied on that basis, citing the absence of any diminished-value provision in Part D or Part C.

3. Third-Party Liability Diminished Value

Where Meridian Mutual's policyholder is at fault and a third party's vehicle is damaged, the third party may have a legal claim against the at-fault policyholder for the diminished value of their own vehicle, separate from repair costs, under general liability principles rather than under any specific Policy Wording provision. This is evaluated as part of the Part A (Liability) claim handling, not as a first-party coverage question, and is a materially different legal basis from Section 2.

4. Distinguishing the Two Scenarios

The adjuster's first task on any diminished value inquiry is identifying which scenario applies: is the claimant the policyholder asking about their own vehicle

(Section 2, not covered), or a third party asking about a vehicle damaged by the policyholder (Section 3, a liability question)? This single distinction determines the entire handling path and should be documented explicitly in the file before any further diminished-value analysis proceeds.

5. Total Loss Claims and Diminished Value

Where a vehicle is determined a total loss, diminished value is not a separate question — the Total Loss Valuation Methodology already pays the vehicle's full Actual Cash Value as of the date of loss, which subsumes any value the vehicle would have lost from the incident, since the vehicle is not being returned to the policyholder in a repaired-but-diminished state.

6. Documentation for a Third-Party Diminished Value Claim

Where Section 3 applies, a third-party diminished value claim is evaluated using a documented valuation approach (comparable sales or a recognized diminished-value formula), and is subject to the same reasonableness review as any other liability valuation, with legal counsel referral (Litigation and Legal Referral Guide) if the claimant disputes the valuation and the dispute cannot be resolved through negotiation.

7. State Variation

Diminished value law varies by state; this guide reflects Ohio practice, consistent with the Ohio Auto Insurance Regulatory Compendium's scope. A claim involving an out-of-state accident or an out-of-state claimant's vehicle is referred to legal counsel to confirm the applicable state's diminished-value framework before a Section 3 determination is finalized.